The *Grundrisse* (The 1857-58 Manuscript)

The Chapter on Capital: Part 18

The Realisation of the Value of the Product of Capital (pp. 401-413)

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(1) Valorisation and realisation[1]

We have seen, says Marx, that capital is exchanged for labour, through which it maintains its value, and then augments this value, in production, through the production of a surplus value. By means of the unity of process of valorisation (Marx 1973, p. 402 has "realisation") with process of production there emerges a product—capital—which is a value of a greater magnitude than that which acted as point of departure.

Value *as such* is money. But in the process of valorisation we have just described what is posited is a commodity to which a price (an "ideal" sum of money) has been attached, not value "as such". This value that this product represents thus has to be "realised" ("*sich realisieren*"): the *ideal* price must be converted into *real* money.

The positing of capital as such has three has three "sides" ("*Seiten*"): (1) the exchange of capital with labour; (2) the unity of the production and valorisation process; and, now, (3) the realisation process.[2] To enter the sphere of production capital is transformed from the money form (value as such) into that of commodities. Then, once production is complete, the commodity product

[1] Throughout Marx 1973, the translator renders both "*Verwertung*" and "*Realisirung*" as "realisation". The two words, however, refer to different things. *Verwertung*, which I (as other translations of Marx, including that of this Manuscript in the *Collected Works* (Marx 1986)) render as "valorisation", refers to the self-expansion of capital (really the expansion of capital by labour) through the creation of a product by labour of a value greater than the sum of the cost of reproduction of the means of production and labour required to produce it. "Realisation" refers to the process whereby this product is sold for money: whereby the value in commodity capital form is transformed into money form. A failure to distinguish between these two crucial concepts renders Marx's argument here incoherent, and commentaries on his account which do not accommodate this translation difficulty, effectively collapsing the two concepts into one another (such as Harvey 2006, "Production and Realisation: Pages 373–458"), appear equally so.

[2] *Inter alia* Marx notes that when we talk of the valorisation of capital we are also talking of its "*un*valorisation" ("*Entwertung*" (Marx 2006, p. 313)), by which term Marx refers to the fact that capital constantly reduces

needs to be transformed again into money. To realise this last, the capitalist enters the sphere of circulation (of exchange), not as a simple participant, but as a *producer* facing *consumers*.

There is of course no automatic guarantee that this realisation process will take place, or take place correctly: the commodity might not be sold, or it might not be sold at a price equal to that corresponding to its value. Under these circumstances, "the capitalist's money has been transformed into a [relatively] worthless product, and has not only not gained a new value, but also lost [a part of] its original value." (Marx 1973, p. 403) The purpose of exchange (from the point of view of the seller of the commodity) is then to realise the value of the commodity as money; as product, the commodity is *not* value, but commodity, whose value is yet to be realised. In this lies the possibility of contradiction.

The source of this contradiction is the following. The three sides of the positing of capital we have mentioned—"[t]he three processes of which capital forms the unity"—are "external"; "they are separate in time and space." Therefore, "[d]espite their inner unity, they exist independently alongside one another, each as the presupposition of the other." As a result of this, "the transition from one into the other, i.e. their unity as regards the individual capitalists, is accidental." (Marx 1973, p. 403)

(2) The barriers to realisation

Let the product of a process of production carry a price of 110 thalers, 10 of these being surplus value, "the objectification of surplus time. "[T]he price [of the total product] here [is] merely an expression, in money, of the amount of objectified labour". The product in commodity form is "unvalued" (*entwertet*) insofar as it needs to be exchanged so that its value is expressed in money form—as value as such. However, this, the realisation of the commodity product's value, of the commodity *as* value, necessarily comes up against barriers ("*Schranken*"), barriers that need to be overcome if the realisation is to take place.

The first barrier is that it is precondition that the commodity be a use value (an exchange value that is not a use value is not an exchange value): the barrier here is that there be a *need* for it. But this need must also be a need which is in possession of money (or other commodity) which it can offer in exchange.

The second is therefore that there must exist an equivalent for the commodity value to be realised: something somewhere else must have been produced against which the commodity in question can be exchanged.

The third is that the commodity in question must have been produced in the required quantity. A given individual commodity may be a use value in itself but if it is produced in a quantity beyond the demand for it then a part of the use value (and hence exchange value) of the total mass of the commodity is lost. "Use value in itself does not have the boundlessness of value as such. Given objects can be consumed as objects of needs only up to a certain level." (Marx 1973, p. 405)

Finally, capital as product also faces the following contradiction. Commodity circulation exists separate from the production of commodities, while production exists separate from the sphere

the cost of its own production through reducing necessary labour in production. Existing capital is in this way constantly *de*valued.

of circulation. Yet while each presupposes the other, they are not equivalent processes, for one supposes the creation of both value *and* surplus value, while the other only its *transformation*. "In order to renew itself, the entire product has to be transformed into money; not as in earlier stages of production, where exchange is by no means concerned with production in its totality, but only with superfluous production and superfluous products." (Marx 1973, p. 406) The surplus product needs a surplus equivalent.

These are all objective barriers. How they are repeatedly overcome ("*aufgehoben*") in circulation is a separate question, to which he will return, Marx says; here we just note their existence.

Lastly, Marx notes the following. "All the contradictions of circulation come to life again in a new form," he says, by which he means that the contradictions we identified when we looked earlier at the *simple* circulation of commodities (Marx 1973, pp. 250-63) here present themselves in new form when we consider the circulation of *capital*. First, there is the contradiction between the product as use value and the product as *value*, between the commodity as a natural object and as the objectification of human labour. Now this contradiction, rather than being a merely formal difference, takes on a quantitative aspect, in which the measure of the use value in question lies not in the labour objectified in it but in its own natural form. Second, the contradiction of the need for "money for-itself" to exchange itself for living labour now manifests as the need for *surplus* money to exchange for *surplus* value. Now, as value, capital as product has to exchange for already-existing value in circulation, while as use value it has to satisfy a quantitatively determinate need.[3]

(3) The external unity of production and realisation

Marx notes that here we are concerned only with "the main concept of capital" (*der allgemeine Begriff des Capitals*), for which the central issue is the "*unity of production and realisation* (*Verwertung*; valorisation), not *immediately* but only as a *process*, which is linked to certain conditions, and, as it appeared, *external* conditions." (Marx 1973, p. 407)

The creation of absolute surplus value presupposes a constant expansion of circulation, since surplus value created at one point requires for its realisation surplus value created at another point.[4] This constant expansion of circulation manifests itself as "[t]he tendency to create the world market [which] is directly given in the concept of capital itself."[5] (Marx 1973, p. 408) In this development, capital seeks "to subjugate every moment of production itself to exchange and to suspend the production of direct use values not entering into exchange, i.e. precisely to posit production based on capital in place of earlier modes of production, which appear primitive [*naturwüchsig*] from its standpoint." (Marx 1973, p. 408) Commerce no longer appears as accidental connection between centres of production, serving to distribute excess production, but becomes an essential presupposition of production itself.[6]

[3] Marx points out here that, nevertheless, he is unable to address "the relation of supply, demand, [and] prices" (Marx 1973, p. 407n) until he has completed his development of capital, since the former supposes the latter.

[4] This may take the form of "only, initially, the production of more gold and silver, more money, so that, if surplus value cannot directly become capital again, it may exist in the form of money as the possibility of new capital." (Marx 1973, p. 407)

[5] "Every limit," Marx notes, "appears as a barrier to be overcome."

[6] "[A]ll production aimed at direct use value decreases the number of those engaged in exchange, as well as the sum of exchange values thrown into circulation, and above all the production of surplus values. Hence the

Contrasted with the creation of absolute surplus value—which implies the creation of a product of a greater total value—the creation of relative surplus value—the creation of surplus value through an increase in the productivity of labour, i.e. the production of a product which is per-unit cheaper, and of the production of a product of a greater variety—involves "the production of new consumption". This consists of three different aspects: (1) the quantitative expansion of existing consumption; (2) the creation of new consumer needs; and (3) the production of new needs and discovery and creation of new use values. "In other words, [...] the surplus labour gained does not remain a merely quantitative surplus, but rather constantly increases the circle of qualitative differences within labour (hence of surplus labour), makes it more diverse, more internally differentiated." (Marx 1973, p. 408)

Marx sets out the matter numerically. Suppose that a doubling of productivity means that a capital of 50 can do what a capital of 100 could do before. A capital of 50, and the necessary labour associated with if, is now set free; a new field of production thus needs to be established, a field which both induces and satisfies a new need. "The value of the old industry is preserved by the creation of the fund for a new one in which the relation of capital and labour posits itself in a *new* form." (Marx 1973, p. 409) (Marx is here, we should note, at his prescient best.)

> Hence exploration of all of nature in order to discover new, useful qualities in things; universal exchange of the products of all alien climates and lands; new (artificial) preparation of natural objects, by which they are given new use values. The exploration of the earth in all directions, to discover new things of use as well as new useful qualities of the old; such as new qualities of them as raw materials, etc.; the development, hence, of the natural sciences to their highest point; likewise the discovery, creation and satisfaction of new needs arising from society itself; the cultivation of all the qualities of the social human being, production of the same in a form as rich as possible in needs, because rich in qualities and relations—production of this being as the most total and universal possible social product, for, in order to take gratification in a many-sided way, he must be capable of many pleasures, hence cultured to a high degree—is likewise a condition of production founded on capital. (Marx 1973, p. 409)

On the one side capitalist production therefore supposes the creation of "universal industriousness" (i.e. surplus labour); on the other, "a system of general exploitation of the natural and human qualities".

> Thus capital creates the bourgeois society, and the universal appropriation of nature as well as of the social bond itself by the members of society. Hence the great civilizing influence of capital; its production of a stage of society in comparison to which all earlier ones appear as mere *local developments* of humanity and as *nature-idolatry*. (Marx 1973, pp. 409-10)

With the development of capital, nature becomes an object for humanity, for the first time, rather than an independent power; the discovery of its natural laws the means to dominate it, either as object of consumption or means of production. In this way,

> capital drives beyond national barriers and prejudices as much as beyond nature worship, as well as all traditional, confined, complacent, encrusted satisfactions of present needs, and reproductions of old ways of life. It is destructive towards all of this, and constantly

tendency of capital (1) continually to enlarge the periphery of circulation; (2) to transform it at all points into production carried on by capital. (Marx 1973, p. 408n; rendering amended according to Marx 1973, p. 321)

> revolutionizes it, tearing down all the barriers which hem in the development of the forces of production, the expansion of needs, the all-sided development of production, and the exploitation and exchange of natural and mental forces. (Marx 1973, p. 410)

However, the simple fact that capital poses every limit to itself as a barrier to be overcome does not mean that this overcoming becomes a tangible reality which transcends the "ideal". Rather, "production moves in contradictions which are constantly overcome but just as constantly posited."

> The universality towards which it irresistibly strives encounters barriers in its own nature, which will, at a certain stage of its development, allow it to be recognized as being itself the greatest barrier to this tendency, and hence will drive towards its own suspension. (Marx 1973, p. 410)

Hence capital is a unity in contradiction: it is both development and barriers to development at the same time. Marx praises Ricardo (and economists like him), who, through conceiving the identity of production and the self-valorisation (Marx 1973, p. 410, has "self-realisation"), and hence obliviousness to circulation and the barriers to consumption, is able to see the "positive essence" of capital. This view he contrasts with that of Sismondi, and similar thinkers, who emphasise "the barriers of consumption and of the available circle of counter-values", even if he (Sismondi) better understands the limits to capitalist production, and its "particular restrictedness".

(4) On the notion of the possibility of crises of overproduction

Marx notes that the controversy over the possibility of overproduction (the celebrated "general glut") "revolves around [...] whether the process of the valorisation of capital within production directly posits its valorisation in circulation; whether its valorisation posited in the production process is its real valorisation." (Marx 1973, pp. 410-11, translation amended according to Marx 2006, p. 321) Ricardo, Marx alleges, "suspects" that "exchange value" is only a value in exchange; in other words that it "proves" itself as a value only in exchange. At the same time, he (Ricardo) considers the barriers that capital faces in exchange as "accidental", and trivially overcome. (Marx contrasts this view with that of Sismondi, who sees these barriers as the product of capital itself, and posits the "breakdown" (Marx uses the English word) of capital.[7]) Ricardo, and his school, have never understood crises, Marx claims.

The orthodox economic denial of the possibility of general overproduction is "childish", Marx asserts. Marx cites several opponents of the notion. James MacCulloch[8] (says Marx), conceives capitalist production as *immediately* the production of use values;[9] On the other hand, he as-

[7] "He [Sismondi] therefore wants to put up barriers to production, from the outside, through custom, law, etc., which of course, as merely external and artificial barriers, would necessarily be demolished by capital."

[8] A follower of Ricardo and editor of Adam Smith, who Marx in *Capital* described as "a past master [...] of pretentious cretinism". (Marx 1976, p. 569n37)

[9] The editors of the *Marx-Engels-Gesamtausgabe* cite his 1825 *Principles of Political Economy*: "if those who want silks cannot obtain them in exchange for broad cloths, or such other commodities as they are either possessed of, or can produce, they have an obvious resource at hand—they can abandon the production of the commodities which they do not want, and apply themselves *directly to the production of those* which they do want, or of substitutes for them." (MEGA 2006, pp. 1002-3)

cribes to James Mill the notion ("copied from the dull Say") that supply and demand are necessarily identical, and that they should therefore automatically correspond.[10]

Neither is it the case (*à la* Proudhon[11]) that overproduction results from an a insufficiency of the circulating medium, for that amounts to no more than a tautology (in the sense that an insufficiency of circulation medium, i.e. a lack of effective monetary demand, is what an overproduction crisis actually *is*).

Marx compliments Storch for arguing (against Say) that a large part of consumption is consumption of means of production, rather than of means of consumption. Likewise, Malthus and Sismondi contend that the consumption on the part of the workers is not "sufficient" consumption from the point of view of the capitalist. But here again, argues Marx, production is regarded as production of use values, and valorisation—the production of *value*, including *surplus* value—is lost sight of.

Then there is the "socialistic" (a reference to the Owenite utopian socialists, especially John Gray) conception, which sees production is reduced to labour and circulation to the exchange of production with labour, i.e. to the exchange of labour with labour, such that "a disproportion [could not] arise except by oversight, [or] miscalculation". (Marx 1973, p. 413)

Marx also addresses the argument he ascribes to Ricardo, whereby production is regulated by cost, such that if one branch of production is not valorised (Marx 1973, p. 413 says "realised") then capital is here withdrawn in favour of other branches. The difficulty here is twofold. First, it recognises the existence of unevenness as a precondition; second, it disregards the fact that "overproduction" is in this sense *general* overproduction, not overproduction in this or that particular branch of production.[12]

Finally, Marx refers to the notion of "proportionate production". (This is another reference to John Gray, who had argued that economic distress was caused not by an insufficiency in the production of use values but of a disproportion in their production.) But capital is not capable of distributing itself in "correct propotions", Marx says, since, in its impulse to maximise surplus labour and surplus productivity, it constantly drives beyond these proportions.[13]

[10] A notion that Marx dismisses as follows. "This [idea of] identity of supply, so that it is a demand measured by it own amount, is true only to the extent that it is exchange value = to a certain amount of objectified labour. To that extent it is the measure of its own demand—as far as value is concerned. But, as such a value, it first has to be realised ["*sie erst realisirt*"] through the exchange fo money, and as object of exchange for money it depends [...] on its use value, but as use value it depends on the mass of needs present for it. [...] But as use value it is absolutely not measured by the labour time objectified in it, but rather a measuring rod is applied to it which lies outside its nature as exchange value." (Marx 1973, pp. 410-11n)

[11] Marx also ropes in here what he calls "the Birminghamers"—Thomas and Matthias Attwood, Isaac Spooner—who advocated a kind of proto-Keynesian expansionary monetary policy, and the 1844 pamphlet *The Currency Question*, published pseudonymously by Thomas Barber Wright and John Harlow, which favoured the views of the Birminghamers.

[12] Tantalisingly, Marx at this point makes the following remark (without elaborating on it): "in a general crisis of overproduction the contradiction is not between the different kinds of productive capital, but between industrial and loanable capital—between capital as directly involved in the production process and capital as money existing (relatively) outside of it." (Marx 1873, p. 413)

[13] "In *competition* this inner tendency of capital appears as a compulsion exercised over it by *alien capital*, which drives it forward beyond the correct proportion with a constant *march*, *march*!" (Marx 1973, p. 413)

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